

# Data Description

**Data source:** The data has been created using the Appendix in the paper<sup>1</sup>. The data is of quarterly frequency from 1946Q1 to 1997Q4.

- Column 1: Date
- Column 2: EGCNY (Elasticity of government spending with respect to GDP): This is the paper's  $b_{1t}$ , the automatic within-quarter response of government purchases to output. Blanchard–Perotti set it to zero because they find no automatic feedback from output to government purchases.
- Column 3: ETAXY (Elasticity of net taxes with respect to GDP): This is the time-varying  $a_{1t}$  used to remove the automatic cyclical tax response from reduced-form tax residuals.
- Column 4: GCN (Nominal government purchases of goods and services): Government consumption plus government investment. This is the paper's government-spending variable.
- Column 5: GDP (Nominal gross domestic product)
- Column 6: GG (Log real per-capita government spending): Approximately  $\log(GCN./(PGDP.*POP))$ . This is  $G_t$  in the VAR.
- Column 7: PGDP (GDP Price Deflator): Used to convert nominal taxes, spending, and GDP into real quantities.
- Column 8: POP (Population): Used to convert real aggregate variables into real per-capita variables.
- Column 9: Tax (Nominal net taxes): Tax revenues minus transfers and net interest payments.
- Column 10: TT (Log real per-capita net taxes): Approximately  $\log(TAX./(PGDP.*POP))$ . This is  $T_t$  in the VAR.
- Column 11: XX (Log real per-capita GDP): Approximately  $\log(GDP./(PGDP.*POP))$ . This is  $X_t$  in the VAR.

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<sup>1</sup>Blanchard, O., and Perotti, R. (2002). An empirical characterization of the dynamic effects of changes in government spending and taxes on output. *The Quarterly Journal of Economics*, 117(4), 1329-1368.